

ANNUAL REPORT

AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED
31 DECEMBER 2024

LIMURU
TEA PLC



LIMURU TEA PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024**

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LIMURU TEA PLC

CORPORATE INFORMATION

BOARD OF DIRECTORS

<u>Name</u>	<u>Nationality</u>	<u>Appointment date</u>	<u>Retirement date</u>	<u>Position</u>
Dorcus Muli	Kenyan	10 August 2018	Active	Chairperson (Non-executive)
Kenneth Odire	Kenyan	2 August 2024	Active	Managing Director
Jackline Kanyua	Kenyan	2 August 2024	Active	Finance Director
Felgona Omollo	Kenyan	6 June 2017	Active	Director (Non-executive)
Sarah Mbwaya	Kenyan	1 October 2021	Active	Director (Non-executive)
Gerridina Ten Den	Dutch	1 March 2019	2 August 2024	Managing Director
Samson Korir	Kenyan	9 November 2017	2 August 2024	Finance Director

COMPANY SECRETARY

Angela Namwakira
ALN House, Eldama Ravine Close
P O Box 764 – 00606
Nairobi, Kenya

REGISTERED OFFICE

Limuru Tea Office
off Nazareth Hospital Road
PO Box 1
Limuru, Kiambu
Telephone: 0722307394/5

PRINCIPAL PLACE OF BUSINESS

Limuru Tea Office
off Nazareth Hospital Road
PO Box 1
Limuru, Kiambu
Telephone: 0722307394

REGISTRARS

Image Registrars Limited, Securities
Registrars & Trustees
5 Floor, Absa Towers, Loita Street
PO Box 9287 – 00100
00100 Nairobi GPO

AUDITOR

KPMG Kenya
8 Floor, ABC Towers
Waiyaki Way
PO Box 40612 – 00100
Nairobi GPO

BANKERS

KCB Bank Kenya Limited
Limuru Branch
PO Box 933 – 00217
Limuru

ADVOCATES

Kaplan & Stratton Advocates
9 Floor, Williamson House
4th Ngong Avenue
Nairobi City, Kenya
PO Box 40100 – 00100
Nairobi GPO

INSURANCE BROKERS

Minet Kenya Financial Services Limited
Minet House, Off Nyerere Road
PO Box 55289 – 00100
Nairobi GPO

LIMURU TEA PLC
NOTICE OF ANNUAL GENERAL MEETING
FOR THE YEAR ENDED 31 DECEMBER 2024

NOTICE IS HEREBY GIVEN that the **100th ANNUAL GENERAL MEETING** of **LIMURU TEA PLC** ("**the Company**") will be held at the Golden Tulip, 65 Muthithi Road, Westlands, Nairobi, on 23rd May 2025 at 11.00 am to conduct the following business:

ORDINARY BUSINESS

1. To read the Notice Convening the Meeting.
2. To receive, consider and adopt the Company's Audited Financial Statements for the year ended 31 December 2024 together with the Directors' and Auditor's reports thereon.
3. To note that the Directors do not recommend a dividend for the year ended 31 December 2024.
4. To receive, consider and if thought fit approve the Directors' Remuneration Report and the remuneration paid to the Directors for the year ended 31 December 2024 as set out in the Audited Financial Statements for the year ended 31 December 2024 and to authorise the Board to fix the remuneration of the non-executive Directors.
5. To elect Directors:
 - a. In accordance with Article 100 of the Company's Articles of Association, Felgona Omollo retires by rotation, and being eligible offers herself for re-election.
 - b. In accordance with Article 101 of the Company's Articles of Association, Kenneth Odire having been appointed a Director during the year, retires by rotation, and being eligible offers himself for re-election.
 - c. In accordance with Article 101 of the Company's Articles of Association, Jackline Kanyua having been appointed a Director during the year, retires by rotation, and being eligible offers herself for re-election.
6. To appoint the following Directors to continue being members of the Board Audit Committee pursuant to the provisions of Section 769 of the Companies Act 2015:
 - a. Sarah Mbwaya;
 - b. Felgona Omollo; and
 - c. Jackline Kanyua.
7. To reappoint KPMG Kenya as the Company's Auditors in accordance with the provisions of Section 721 (2) of the Companies Act, 2015 to hold office from the conclusion of the meeting until the conclusion of the next Annual General Meeting and to authorise the Directors to determine the remuneration of the Auditors for the ensuing financial year.
8. To transact any other business of the Annual General Meeting in respect of which valid notice shall have been given.

BY ORDER OF THE BOARD

Angela Namwakira
Angela Namwakira
Company Secretary

Date: 28 March 2025

LIMURU TEA PLC

NOTICE OF ANNUAL GENERAL MEETING FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

Notes

1. *A member entitled to attend and vote at the above meeting may appoint a proxy to attend and vote instead of him/her. A proxy need not be a member of the Company. A form of proxy is enclosed.*
2. *A proxy must be signed by the appointer or his attorney duly authorized in writing. If the appointer is a body corporate, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such body corporate.*
3. *Shareholders who will not be able to attend the meeting are requested to complete and return the Proxy Form, so as to reach the Company Secretary, Limuru Tea PLC., PO Box 764-00606, Nairobi not later than 21st May 2025.*
4. *In accordance with Article 133 of the Company's Articles of Association a copy of the Audited Financial Statements may be viewed on and obtained from the Company's website or from the Registered Office of the Company. An abridged set of the audited Balance Sheet, Income Statement, Statement of Changes in Equity and Cashflow Statements for the year ended 31st December 2024 have been published in two daily newspapers with nationwide circulation.*

LIMURU TEA PLC

CHAIR'S STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2024

Limuru Tea PLC owns 282 hectares of tea plantations situated four kilometres to the east of Limuru Town. The Company is an out-grower to Browns East Africa Plantations PLC (BEAP) (formerly Lipton Teas and Infusions Kenya PLC). Browns East Africa Plantations PLC provides management services to Limuru Tea PLC's in manufacturing, selling and marketing of its tea. The Limuru Tea estate green tea leaf is manufactured in the nearby BEAP's Mabroukie factory from where it is sold for export.

Limuru Tea PLC's **Purpose/Mission** is to '*Lead the Tea Industry Upwards in Positively Impacting our People, Consumers & Environment*'; and the **Vision** of the Company is '*To Grow a World of Wellbeing to Generate Value for All*'.

Environmental conservation

Through the environmental policy and Rainforest Alliance certification, the Company endeavoured to make its operations sustainable, conserve natural resources and reduce energy consumption. To that effect, we preserve our riparian strips, water sources, and strive towards reducing our environmental footprint on the planet.

We have been on a journey to create a sustainable manufacturing and safe environment by developing a strategic plan that targets year-to-year reductions in environmental KPIs like waste generation, water consumption, among others. We have trained our employees to adhere to the preferred waste management hierarchy which basically involves: 1. reducing waste at the source 2. Reusing 3. Recycling and composting, and 4. Recovery. We have zero waste to land fill program where all waste in villages and workplace is segregated at the source. Non-biodegradable waste is collected by a licensed third-party waste management partner. This has minimized our environmental impact to ensure that both our economy and our environment can thrive.

We are maintaining biodiversity through planting different tea clones, applying integrated pest and disease management and planting drought/pest resistant varieties. In 2022, 2023 and 2024, we planted more than 5,000 trees in our riparian areas. We target to plant 1,000 in 2025 and manage them to maturity.



Employee engagement at Limuru Tea Estate

Soil conservation and sustainability

All our riparian areas are covered by indigenous forests that are conserved; no hunting of animals and felling of trees is allowed in these areas. We have created micro catchments, terraces and planted Agapanthus on tea field edges to hold rainwater and prevent soil erosion. We improve soil fertility by decomposing pruning trashes in-situ.

We have eliminated use of herbicides in all our operations as a measure to protect and conserve the environment.



Riparian area within Limuru Tea Estate

Employee wellbeing

We're committed to a working environment that promotes diversity, inclusion, life-long learning and equal opportunity. We believe in a workplace where there is mutual trust, respect for human rights and no discrimination. We support the physical and mental wellbeing of our employees, ensuring safe working conditions.

We offer all employees competitive salary packages. Personnel have access to free housing with solar panels for lighting, clean water, and sanitation facilities. We offer continuous training sessions to employees on safety at work and outside the workplace, business integrity, and financial management as well as family support programs and mental health awareness.

LIMURU TEA PLC

CHAIR'S STATEMENT **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

Tea production

Tea production in 2024 rose by 4.95% to 598.47 million, surpassing 570.26 million in 2023. This increase was driven by favourable weather conditions, enhanced by well-distributed rainfall, improved fertilizer use, the establishment of new factories, and expanded processing capacity in existing facilities. (*Source Tea Directorate*).

The Tea Markets

The average Mombasa auction price for all the Kenyan teas decreased from an average of USD 2.24/kg recorded in 2023 to USD 2.19/kg in 2024 due to market supply & demand forces. The lower prices were attributable to increased volume of lower quality teas offered by factories at the auction. (*Source Tea Directorate*).

Company performance

The estate operations are managed in line with best practice. In 2024 the Company produced 3,731,600 (2023 – 3,388,270) kilograms of green tea leaf, which in turn was manufactured into 811,200 (2023 – 756,497) kilograms of black tea. Green tea leaf and black tea increased by 10% and 7% respectively in 2024.

The turnover increased by 5% to KShs 144 million in 2024 from KShs 138 million in 2023. This was driven by increase crop offering by 10% and improved made tea quality.

The Company posted a pre-tax loss of KShs 10.6 million in the year ended 31 December 2024 compared to a KShs 10.4 million pre-tax profit in the prior year. The decline in performance was largely driven by rising labour cost and decrease in market prices as well as a decrease in the fair valuation of biological assets.

Strategic initiatives the firm is undertaking during the year

The company has over the past years embarked on a program to maximize yield by replanting high yielding and drought resistant tea varieties. The company's main focus is improving green leaf quality and production cost optimization to boost our profitability.

Prospects, Risks and Market

Rising labour costs continue to drive cost of production upward. Market prices have declined contrary to expectation, driven by global foreign exchange challenges in key Tea Markets.

The performance of the company has been majorly impacted by inflation affecting cost of inputs in the country. Management will continue with cost containment measures and quality improvement initiatives to ensure the company continues to deliver steady performance.

Tribute to employees

Finally, I would like to pay tribute to all our employees for their support and contribution to the Limuru Tea PLC business during the year 2024.

Dorcas Muli
Chair

Dorcas Muli

Dorcas Muli (Apr 10, 2025 15:16 GMT+3)

Date: 28 March 2025.

LIMURU TEA PLC
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2024

The Directors submit their report together with the audited financial statements for the year ended 31 December 2024, in accordance with the Kenya Companies Act, 2015 which disclose the state of affairs of Limuru Tea PLC (the “Company”).

1. Principal activities

The principal activity of the Company is growing of green leaf tea.

2. Results

The results for the year are set out on page 29 and show the loss for the year of KShs 15,215,000 (2023 – KShs 8,116,000 profit).

3. Dividends

The Directors do not recommend the payment of a dividend for the year ended 31 December 2024 (2023: KShs 1.00 per ordinary share)

4. Directors

The Directors who held office during the year and to the date of this report are set out on page 1.

5. Relevant audit information

The Directors in office at the date of this report confirm that:

- There is no relevant audit information of which the Company’s auditor is unaware; and
- Each Director has taken all the steps that they ought to have taken as a director to be aware of any relevant audit information and to establish that the Company’s auditor is aware of that information.

6. Auditor

The auditor, KPMG Kenya, being eligible for reappointment, has indicated willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

7. Business overview

The Company’s business overview is contained in the Chairperson’s statement set out on page 4 to 5.

8. Boards’ assessment of compliance with the risk management frameworks

The Board, advised by the Committees where appropriate, regularly review the significant risks and decisions that could have a material impact on Limuru Tea PLC. These reviews consider the level of risk that Limuru Tea PLC is prepared to take in pursuit of the business strategy and the effectiveness of the management controls in place to mitigate the risk exposure. The Board, through the Audit Committee, have reviewed the assessment of risks, internal controls and disclosure controls and procedures in operation within Limuru Tea PLC. They have also considered the effectiveness of any remedial actions taken for the year covered by this Annual Report and Financial Statements and up to the date of its approval by the Board.

LIMURU TEA PLC
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

9. Approval of financial statements

The financial statements were approved and authorised for issue at a meeting of the directors held on **28 March 2025**.

BY ORDER OF THE BOARD

Angela Namwakira

Angela Namwakira
Company Secretary

Date: 28 March 2025.

LIMURU TEA PLC

DIRECTORS' REMUNERATION REPORT **FOR THE YEAR ENDED 31 DECEMBER 2024**

This Directors' remuneration report sets out the remuneration arrangements for Limuru Tea PLC directors for the year ended 31 December 2024.

Information not subject to Audit

Details of directors

The remuneration report details the remuneration arrangements for Directors who served during the year. The executive and non-executive directors listed below are collectively referred to as directors.

Executive Directors:

— Mr. Kenneth Odire	Appointed on 2 August 2024
— Ms. Jackline Kanyua	Appointed on 2 August 2024
— Ms. Gerridina Johanna Maria Ten Den	Resigned on 2 August 2024
— Mr. Samson Korir	Resigned on 2 August 2024

Non-executive directors:

— Ms Dorcas Muli	Chairperson
— Ms Felgona Omollo	
— Ms Sarah Mbwaya	

Remuneration Policy for the Non-Executive Chair, Non-Executive Directors and Executive Directors

The remuneration of the Non-Executive Chair and Non-executive Directors is determined by the Nomination Committee. These Board members receive annual fees and allowances for attending meetings. Non-Executive roles are not entitled to any performance related pay or pension.

The Non-Executive Chair and Non-Executive Directors do not have service contracts. The Non-Executive Directors appointments are subject to annual election or re-election by shareholders.

Non-Executive Directors' appointments may be terminated at any time by serving one months' written notice by either party.

(a) Remuneration Policy for Non-Executive Director

The fees for Non-Executive Directors are set at a level which is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. Fees are paid in cash through Real Time Gross Settlement (RTGS).

The amount of fees reflects the attached responsibility and time commitment. Additional fees are paid for further responsibilities such as chairing committees and sitting on appointed board committees.

The value of benefits provided will be reasonable in the market context and take account of the individual circumstances and benefits provided in comparable roles for companies within the industry.

LIMURU TEA PLC

DIRECTORS' REMUNERATION REPORT **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

Remuneration Policy for the Non-Executive Chair, Non-Executive Directors and Executive Directors (Continued)

(b) Remuneration Policy for Executive Directors

Executive Directors work within the Browns' Group of Companies and do not earn any remuneration from the Company. The Company's policy is to appoint Executive Directors for an initial two-year period, which may be extended for a further term by mutual consent. The initial appointments and any subsequent reappointments are subject to annual review by the Nomination Committee.

Travel and other reasonable expenses (including any associated taxes) incurred in the course of performing their duties are reimbursed.

Changes to directors' remuneration

There were no substantial changes relating to the directors' remuneration made during the year (2023 – None).

Information subject to audit

Contract of service – Executive directors

Name	Date of contract	Unexpired term	Notice period	Amount payable for early termination
Mr. Kenneth Odire	2 August 2024	1 years 7 months	1 Month	None
Ms. Jackline Kanyua	2 August 2024	5 months	1 Month	None
Mr. Samson Korir	9 November 2023	Resigned on 2 August 2024	N/A	None
Ms Gerridina Johanna Maria Ten Den	1 March 2023	Resigned on 2 August 2024	N/A	None

Directors' remuneration paid during the year.

Non-executive directors

NAME	2024			2023		
	Fees	Sitting allowance	Total	Fees	Sitting allowance	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Ms Felgona Omollo	336	315	651	336	350	686
Ms Dorcas Muli	436	273	709	437	318	755
Ms Sarah Mbwaya	<u>336</u>	<u>315</u>	<u>651</u>	<u>336</u>	<u>350</u>	<u>686</u>
Total	<u>1,108</u>	<u>903</u>	<u>2,011</u>	<u>1,109</u>	<u>1,018</u>	<u>2,127</u>

Note: There were no unpaid fees and allowances as at 31 December 2024 (2023 – KShs Nil)

Executive directors

Executive directors also work within the Browns' Group of Companies and therefore did not earn any remuneration for acting as directors of Limuru Tea PLC. Their expenses for travel tickets, accommodation and food during Board assignment were borne by the Company.

There were no other sums paid to third parties in respect of directors' services.

LIMURU TEA PLC

DIRECTORS' REMUNERATION REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

Approval of the directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules.

By Order of the Board

Angela Namwakira

Angela Namwakira,
Company Secretary

Date: 28 March 2025.

LIMURU TEA PLC

BOARD OF DIRECTORS AND DIRECTORS' PROFILES



Ms. Dorcas Muli
Kenyan

Dorcas Muli is an independent and non-executive director and the Chair of the Board of Directors of Limuru Tea PLC. She joined the Board on 10 August 2018.

As an Independent Director, Dorcas does not have a material or pecuniary relationship with the company or related persons, and is compensated through sitting fees or allowances, she does not own shares in the Company, and has served in her capacity for a period of less than nine years.

Dorcas is an experienced Audit, Compliance and Risk Management professional with over 16 years of experience having started her career at the Auditor General's office before taking on appointment as Senior Associate at Pricewaterhouse Coopers. She also had a stint at AMREF as a Compliance Officer and worked for Centre for Health Solutions- Kenya as a Compliance Manager. She is currently pursuing a PhD in Economics at the University of Nairobi and in private practice as a Certified Public Accountant.

Dorcas holds a master's degree in business administration, Kenyatta University and a Master of Arts in Economic Policy Management from the University of Nairobi. Dorcas is a Certified Public Accountant and a Certified Information Systems Auditor. She is a practicing member of the Institute of Certified Public Accountants of Kenya (ICPAK) and a member of the Association of Women Accountants of Kenya (AWAK) and the Women on Board's Network.



Ms. Felgona Omollo
Kenyan

Felgona Omollo is a independent non-executive director to the Board of Directors of Limuru Tea PLC. She joined the Board on 6 June 2017.

The Board reclassified Felgona Omollo as a independent non-executive director to the Board of Directors of Limuru Tea PLC since her employment with Unilever Tea Kenya PLC lapsed six (6) years ago and she had not served for more than nine years since she was first appointed. Felgona does not have a material or pecuniary relationship with the company or related persons, and is compensated through sitting fees or allowances, she does not own shares in the Company and has served in her capacity for a period of less than nine years.

Felgona is a seasoned Human Resource Practitioner and Consultant.

She has delivered major Human Resource projects for the United Nations in Uganda, Butali Sugar Mills Limited in Kakamega County and Nightingale Medical Centres in Kisumu County, among others. She is also a regular facilitator in Institute of Human Resource Management forums to Nyanza and Western region members.

Felgona has extensive experience in handling challenging Human Resource environment in Kenya and Tanzania, which she brings on board to Limuru Tea PLC. She holds a Bachelor of Business Management Degree majoring in Human Resource Management, a Diploma in Human Resource Management, an international Diploma in Personnel Management and Industrial Relations and a certificate in Psychological Counselling. She is a member of the Institute of Human Resource Management.

LIMURU TEA PLC

BOARD OF DIRECTORS AND DIRECTORS' PROFILES (CONTINUED)



Angela Namwakira
Company Secretary
Kenyan

Angela, a Partner at Adili Corporate Services Kenya LLP, is a passionate corporate governance and legal professional with over 17 years of experience as an advocate and governance practitioner. She has vast experience as a Company Secretary and serves on the Boards of various reputable multinationals, locally quoted companies, not-for-profit entities, as well as local small and medium-sized enterprises spanning multiple sectors.

She has a demonstrable track record in the areas of statutory and regulatory compliance, corporate governance, strategic planning, corporate structuring, company law and practice, employment and labour relations, immigration, and insurance law.

Angela holds a Bachelor of Laws (LL. B) Degree from the University of Nairobi. She is an advocate of the High Court of Kenya, a practicing Certified Secretary, and an accredited Governance Auditor. She is also a Member of the Women on Boards Network (WOBN).



Jackline Kanyua
Kenyan

Jackline Kanyua is an Executive Director to the Board of Limuru Tea PLC. She joined the Board on 2 August 2024.

Ms Kanyua is the Finance Business Partner of Browns East Africa Plantations PLC and is a highly experienced corporate executive with expertise in stabilizing finance and operations across multi-site companies for both public and private entities. She joined the Company in February 2024 and previously served as a Chief Finance Officer (CFO) at Super Foam Limited, Finance Manager at KPMG East Africa and held different roles at KPMG East Africa and Britam. She holds a Bachelor of Education (Arts) Degree from the University of Nairobi and is a member of The Institute of Certified Public Accountants Kenya (ICPAK).



Kenneth Odire
Kenyan

Kenneth Odire is an executive director to the Board of Directors of Limuru Tea PLC he joined the Board on 2 August 2024.

Mr Odire is the current Managing Director of Limuru Tea PLC and Country General Manager, Kenya for Browns East Africa Plantations PLC (formerly LIPTON Teas and Infusions Kenya PLC).

Mr Odire has had a career spanning almost 30 years, dedicated to enhancing operational excellence and driving strategic initiatives across various regions which includes a significant tenure at Unilever, LIPTON Teas and Infusions PLC and his current role at Browns East Africa Plantations PLC. He is committed to leveraging his extensive experience to continue driving success and fostering growth within the business and tea industry.

He has a background in Analytical Chemistry, MBA Strategic Management and currently pursuing a PhD in Leadership Management at the Management University of Africa.

LIMURU TEA PLC

BOARD OF DIRECTORS AND DIRECTORS' PROFILES (CONTINUED)



Sarah Mbwaya
Kenyan

Sarah Mbwaya as an Independent Non-Executive Director to the Board of Limuru Tea PLC and Chair of the Audit Committee and member of the Nominations Committee of the Board. She joined the Board on 1 October 2021.

As an Independent Director, Sarah does not have a material or pecuniary relationship with the company or related persons, and is compensated through sitting fees or allowances, she does not own shares in the Company, and has served in her capacity for a period of less than nine years.

Sarah Mbwaya is experienced with over 30 years of engineering experience with a strong focus in systems design, automation, improvement, and implementation. She has over 20 years' leadership and senior management experience drawn from fields such as energy, information communication technology, business management (oversight & development), financial & resource management, project management (planning & execution), consultancy, stakeholder management and entrepreneurial practice.

She has served on boards of Numerical Machining Complex (NMC) where she chaired the Audit Committee, Emerging Young Leaders (EYL), Emerging Leadership Initiatives, and Loresho South Residents Association where she held the vice chair position. She is a member of Engineers Board of Kenya (EBK), Business Network International (BNI), Women on Boards Network (WOBNI), Women in Sustainable Energy Entrepreneurs (WISEe) and Women in Business (WIB).

She has a Masters Degree in strategic management from United States International University, bachelor's degree (Hons.) in Electrical and Electronics Engineering from the University of Nairobi, Solar technician Licenses from the Energy & Petroleum Regulatory Authority (EPRA) and an ACCA Diploma in Financial management. She is also an accredited system engineer (ASE).

She is passionate about risk management, strong internal control systems, leadership & governance, sustainable energy, conservation, and she is keen on sound corporate Governance practices.

LIMURU TEA PLC
SUSTAINABILITY REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024

Statement from the CEO

The growing awareness of potential social and environment risks generated by supply chains of goods and services means that there is significant pressure on companies to generate, assess and make available information on their sustainability performance and impact.

Sustainability reporting represents an important mechanism to generate data and measure progress and the contribution of companies towards global sustainable development objectives, set goals and support the transition towards a low carbon, resource efficient and social inclusion.

In line with our values, Sustainability is fundamental to our business and goes beyond our operations into the work we do with stakeholders, the welfare of our employees and our long-term environmental sustainability.

Materiality Assessment

Limuru Tea PLC aims to create value for its stakeholders while protecting the planet and resources.

Materiality assessment is a process of identifying, reviewing, and assessing potential issues that could affect businesses, and/or stakeholders, and condensing them into a short-list of topics that drive the company's sustainability strategy, initiatives, and reporting.

A sustainability issue is material to Limuru Tea PLC if it meets two conditions. Firstly, if it is considered a principal risk or an element of a principal risk, which could impact our business or performance. And secondly, if it is deemed to be important to our key stakeholders, including: our people, consumers, customers, suppliers & business partners, planet & society (citizens, NGOs, governments) and our employees.

All of the material sustainability issues listed below are recognized as a principal risk or an element of a principal risk in our annual risk management process.

During the reporting period, we reviewed the materiality matrix for the previous financial year.

Stakeholder interest	Materiality matrix		
	High	Diversity and inclusion Stakeholder engagement Human rights	Climate change and environment Corporate governance and integrity Environment
	Medium		Occupational health and safety
		Medium	High
Relevance/Impact on Limuru Tea PLC business			

The above material issues were categorized as follows;

Climate change and environment

- (a) Water.
- (b) Waste management.
- (c) Energy and emissions: Managing Greenhouse Gas emissions.

LIMURU TEA PLC

SUSTAINABILITY REPORT **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

Materiality Assessment (Continued)

Our community

- (a) Human rights
- (b) Diversity and inclusion
- (c) Stakeholders' engagement
- (d) Occupational health and safety

Corporate governance and integrity

- (a) Division of responsibilities
- (b) The role of the Board
- (c) Board Committee

1. Climate change and environment

As environmental awareness increases, integrating sustainable business models into corporate strategies and determining commitments to providing environmental, economic, and social benefits becomes an inevitable responsibility for all stakeholders. We are committed to harnessing a greener approach and set on reducing our impact on the environment. We seek to build a sustainable approach to production to reduce carbon emissions and the impact it has on local ecosystems, while observing the priorities of different stakeholders.

At Limuru Tea PLC, we aim to achieve resource efficiency, we aim to use natural resources such as water and energy more effectively and to create more value with less input. We strive to contribute to reducing the environmental impact of our operations. Reducing waste at the source and adopting correct disposal practices.

We have Environment and Energy policies and principles that aid in defining our objectives, goals, and initiatives: The key themes are:

- (i) To comply with the relevant National and International regulations and other requirements,
- (ii) To conduct the necessary activities to raise awareness among our employees, our business partners and public,
- (iii) To ensure the participation at all levels of the organization as well as our business partners,
- (iv) To assess the potential risks regarding environmental impact and to take measures against identified risks,
- (v) To take adequate measures for the protection of the environment and the prevention of environmental pollution caused by processes and products, to reduce the amount of waste generated because of our activities, collect, reuse, and recycle waste,
- (vi) To use energy and natural resources efficiently,
- (vii) To manage environment related risks and opportunities when investing in current or new assets, and
- (viii) To monitor our performance by setting goals through a proactive approach and to ensure continuous improvement in all our processes.

LIMURU TEA PLC
SUSTAINABILITY REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

1. Climate change and environment (Continued)

(a) Water

As part of our sustainable and responsible resource consumption, we have installed water meters to capture, monitor and document our water footprint.

We ensure legal compliance of water sources and withdrawal rates, monitoring of water consumption, best practices in water management, water source protection and measures to demonstrate continuous improvement in water management.

To ensure we conserve water as much as possible, we practice a combination of water catchment preservation and using technology to apply the correct amount of water in our operations.

Rising populations and living standards inevitably increase consumption, which increases the pressure on our natural resources and disrupts the balance of the world. Our limited resources cannot meet this unlimited demand. Given this reality, the importance of efficient use of natural resources becomes even more evident.

(b) Waste management

Zero Waste is a target defined as a waste management philosophy that includes preventing waste, using resources more efficiently, preventing or minimizing waste generation by reviewing the causes of waste generation, and collecting and recycling waste separately at the source.

For this reason, in recent years, Limuru Tea PLC has adopted and implemented the zero-waste approach. With zero-waste approach as a basis, we prioritize: Waste avoidance, Waste reduction, Reuse and Recycling.

Limuru Tea works to prevent waste generation at source and to minimize waste at every possible step of its operations. Limuru Tea supports the "Zero Waste" by establishing the necessary infrastructure for effective monitoring of waste from sites.

In addition, Limuru Tea PLC has partnered with a licensed in-house recycling vendor. The vendor collects, recycles, and reuses our waste as guided by the Kenya National environmental management Authority (NEMA).

Hazardous waste such as fertilizer bags is collected, documented, and disposed of through the National Environment Management Authority's (NEMA) approved waste handlers.

(c) Energy and emissions

Climate change is a shared and the most urgent problem our planet is faced with. The use of fossil fuels and carbon emissions pose a great threat to humanity. Combating climate change can only be possible if all stakeholders work together and join forces for a low-carbon economy. Priority issues in transition to a low carbon economy are:

- (i) energy efficiency.
- (ii) use of renewable energy resources,
- (iii) resource efficiency in processes.

LIMURU TEA PLC
SUSTAINABILITY REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

1. Climate change and environment (Continued)

(c) Energy and emissions (Continued)

Managing and reducing greenhouse gases from our activities is one of the many steps we take to enhance sustainability. We aim to reduce our carbon footprint continuously for a sustainable world and we are taking firm steps to reach our target. To this end, Limuru Tea has Energy and Environment policies. These policies provide guidance on :

- Commitment to utilizing and generating energy in a safe, economic, environmentally sound and sustainable manner, in full compliance to the Energy Act, 2019 of Kenya and any Regulations as stipulated by the Laws of Kenya
- Commitment to continuous improvement in environmental performance in all activities.
- Carbon sequestration through Tree planting initiatives within and outside the business including restoration of Mau Forest.

To ensure full transparency and traceability of tea produced in it's operations, Limuru Tea PLC in collaboration with BEAP has adopted and obtained the Rain Forest certification. This certification focusses on traceability of tea and related agronomic practices throughout the operations.

The certification's process involves review of socio-environmental management systems and processes covering ecosystem conservation, wildlife protection, fair treatment and good working conditions for workers, integrated waste management among other sustainability topics.

2. Our community

(a) Human rights

In Limuru Tea, we intentionally promote the enjoyment, realization, and fulfilment of human rights by charting an intentional path that meets the needs in our operations. Human rights integration by the Company has entailed four areas of focus:

- (i) Policy formulation/review of internal policies to enable effective implementation of human rights standards.
- (ii) Prevention Programs and Training.
- (iii) Confidential Ethics hotline.
- (iv) Democratically elected worker committees (Dignity & Gender Enhancement Committees).

Limuru Tea has below policies to support action and tracking of human rights related topics:

- Child Protection policy
- Dignity and Gender Enhancement Committee charter
- Psychosocial Support Guidelines
- Social Policy
- Welfare Grievance Guidelines
- Nursing Break Guidelines
- HR People Processes framework and policies.

These initiatives have been undertaken against a backdrop of robust stakeholder engagement and building the capacity of employees and the community to understand human rights.

LIMURU TEA PLC
SUSTAINABILITY REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

2. Our community (Continued)

(b) Diversity and Inclusion

The diversity of our people is one of our greatest strengths. We value and recognize the benefit of individual differences in the workplace, which supports both the realization of an individual's full potential and the achievement of our strategic priorities. Limuru Tea has Diversity & Inclusion Policy.

To foster diversity and inclusion in our workspaces, we have:

- Introduced interactive discussion groups for team members to have open and safe conversations around diversity, equity and inclusion topics.
 - (i) Dignity and gender enhancement committees
 - (ii) He4them Program
 - (iii) Women Collective Action
 - (iv) People With Disabilities Resource groups
- Continued regular reporting on issues that matter to our people, which we know from surveys conducted on employees. Some of the topics of interest to our employees include;
 - (i) Women in Leadership - 48% overall at supervisor level
 - (ii) Gender Diversity at all levels- Our employee population - 36% Female, 64% Male
- Embraced the celebration of key events that promote diversity across the globe, including but not limited to International Women's Day, International Men's Day, International Day for People with Disabilities, International Human Rights Day.

(c) Stakeholder engagement

To continuously improve our sustainability approach, focus areas and performance, two-way communication with stakeholders is a priority. With this in mind, we gather stakeholder expectations and incorporate them into our strategy development, enhancement and decision-making processes. We seek to maintain dialogue with our stakeholders on different platforms ensuring a suitable frequency and tool.

Below is the view of the stakeholder Engagement Matrix

Stakeholder	Platform/Tool	Frequency
Employees	Cascades, Morning Muster & Baraza, Intranet	Continuously
	Corporate website	Continuously
	Internal bulletins	Continuously
	Business cascades and stand downs	Quarterly
	Safety meetings	Weekly
	Quarterly & Annual celebrations	Continuously
Board, Investors and shareholders	Board meetings	Quarterly
	Board committee meetings	Quarterly
	Board Trainings	When required

LIMURU TEA PLC
SUSTAINABILITY REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

2. Our community (Continued)

(c) Stakeholder engagement (continued)

Stakeholder	Platform/Tool	Frequency
	Annual general meeting	Annually
	Visits by shareholders	When required
	Performance review	Quarterly
Regulators/ Authorities	Correspondences (letters, memos)	When required
	Topical forums	Continuously
	Face to face meetings	Continuously
	Organized meetings/Conferences	Continuously
	Annual statutory audit	Annually
	Corporate governance audit	Annually

(d) Occupational health and safety

The journey towards zero accidents

Limuru Tea PLC has the goal of zero accidents in the areas it operates. In line with this, we endeavour to make the occupational health and safety understanding a living culture within the company. Providing healthy and safe working conditions for its employees is among the most fundamental values of the company.

Limuru Tea PLC safety vision is “Zero Harm to employees, contractors and visitors achieved by fostering a strong safety performance through aculture.”

This vision is accomplished by instituting and implementing core safety policies, they include:

- (i) Safety at Work Policy
- (ii) Fire Safety Policy
- (iii) Procedure for refusal to work because SHE Concerns
- (iv) Safe Travel Policy

Proactive indicators also play a vital role in monitoring, improving, and sustaining good safety performance. The Safety behaviours Observations program which was launched in 2015 continues to play a critical role to ensure that all employees at Limuru Tea PLC are empowered to share feedback with each other and that safe and unsafe behaviours, outcomes and safer ways of working are discussed on a regular basis.

Safety Behaviour Observations (SBO) are reported by observers from various departments and analysed to understand high level trends and opportunities for improvement. These are followed up to closure systematically.

The SBO program is supported by a robust SHE governance as well as an annual communication plan, various tools such as weekly toolbox talks, Lessons learnt among others help keeping safety always on the agenda for the whole organization.

Limuru Tea PLC is committed to ensuring employees, customers, clients, contractors get home safely to their families at the end of every working day.

LIMURU TEA PLC
CORPORATE GOVERNANCE
FOR THE YEAR ENDED 31 DECEMBER 2024

Overview

Limuru Tea PLC is committed to comply with the provisions of the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015 (the “Corporate Governance Code”) and the Capital Markets (Licensing Requirements) (General) (Amendment) Regulations, 2016 (the “Corporate Governance Regulations”) as issued by the Capital Markets Authority. Besides complying with external corporate governance regulations, the Company has embedded internal rules of engagement to support corporate governance. These internal guidelines are constituted in the Governance of Limuru Tea PLC.

Division of Responsibilities

The Chair and the Chief Executive Officer’s roles are separate, with each having distinct and clearly defined duties and responsibilities.

The Chair is responsible for leadership of the Board, for ensuring its effectiveness in all aspects of its role and for facilitating productive contribution of all Directors. The Chair serves as the link between the Board and management in between meetings and is responsible for ensuring that decisions of the Board are implemented. She is also responsible for ensuring that the interests of the Company’s shareholders are safeguarded and that there is effective communication with them.

The Chief Executive Officer has overall responsibility for the performance of the business and provides leadership to facilitate successful planning and execution of the objectives and strategies agreed by the Board.

Independence of Non-Executive Directors

The criteria chosen by the Board for judging the independence of Non-Executive Directors is, set out in the Governance of Limuru Tea PLC which is its Board Charter, as listed below:

- (i) has not been employed by the company in an executive capacity within the last three years;
- (ii) is not associated with an adviser or consultant to the company or a member of the company’s senior management or a significant customer or supplier of the company or with a not-for-profit entity that receives significant contributions from the company; or within the last three years, has not had any business relationship with the company (other than service as a director) for which the company has been required to make disclosure;
- (iii) has no personal service contract with the company, or a member of the company’s senior management;
- (iv) is not employed by a public listed company at which an executive officer of the company serves as a director;
- (v) is not a member of the immediate family of any person described above, or has not had any of the relationships described above with any affiliate of the company;
- (vi) is not a representative of a shareholder who has the ability to control or significantly influence management;
- (vii) is free from any business or other relationship which could be seen to interfere materially with the individual’s capacity to act in an independent manner;
- (viii) does not have a direct or indirect interest in the company (including any parent or subsidiary in a consolidated group with the company) which is either material to the director or to the company. A holding of five percent or more is considered material;
- (ix) does not hold cross-directorships or significant links with other directors through involvement in other companies or bodies; and
- (x) has not served for more than nine years since they were first appointed

LIMURU TEA PLC
CORPORATE GOVERNANCE
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

Independence of Non-Executive Directors (Continued)

The Board decide on the independence of a Non-Executive Director by applying these criteria to the particular circumstances of the individual concerned and will also consider, where relevant, circumstances of immediate family members. In view of the foregoing the Board reclassified Felgona Omollo as an independent non-executive director to the Board of Directors of Limuru Tea PLC since her employment with Unilever Tea Kenya PLC lapsed six years (6) ago and she has not served for more than nine years since she was first appointed.

The Role of the Board

The Board is comprised of independent Non-Executive Directors and Executive Directors and is responsible for the overall conduct of the Company and has the powers, authorities and duties vested in it pursuant to the relevant laws of the Republic of Kenya and the Articles of Association of Limuru Tea PLC. The Directors are committed to fulfilling their fiduciary responsibilities and have instituted various principles necessary to ensure that good governance is practiced with respect to dealings with the Company's shareholders, customers and other relevant stakeholders in line with the spirit of the CMA Code of Corporate Governance for listed Companies. In all its dealings, the Board has regard to the interests of the Company as a whole, including its shareholders, employees, customers and suppliers, together with its social and legal responsibilities in the communities in which it operates and to the environment.

The Board is collectively accountable to the Company's shareholders for the long-term success of the Company and for its overall strategic direction, its values and governance. It provides the leadership necessary for the organization to meet its business objectives within the framework of its internal controls, while also discharging the Company's obligations to its shareholders. Responsibility for implementing strategy and day-to-day operations has been delegated by the Board to the Chief Executive Officer and the Company's executive team.

Board Diversity

The Board recognises and embraces the benefits of diversity and views increasing diversity as an essential element in maintaining a competitive advantage. The Board also recognises the role of diversity in bringing different perspectives into Board debates and offers better anticipation of the risks that are inherent in the business and the opportunities that the business pursues. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business.

Board Committees

The Board retains effective control over the Company's operations and has established committees (the "**Committees**") to assist it in providing detailed attention to specific areas. The Committees report to the Board at each meeting highlighting matters discussed at their respective meetings and recommended actions.

(i) Audit Committee

This Committee's mandate includes: review of financial statements, compliance with accounting standards, oversight on risk assessment and management, internal control systems and the internal audit function, identification, assessment and liaison with the external auditor, corporate governance and finance and investment. The Company's performance on ethics is assessed and monitored by this Committee. This Committee meets at least twice a year.

LIMURU TEA PLC
CORPORATE GOVERNANCE
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

Board Committees (Continued)

(i) Audit Committee - continued

Members

- (i) Sarah Mbwaya (Chairperson)
- (ii) Felgona Omollo
- (iii) Jackline Kanyua

(ii) Nominations Committee

This Committee is responsible for: evaluation, induction, remuneration, appraisal, training and upskilling of directors, nomination of new directors and composition of the Board. This Committee meets at least once a year.

Members

- (i) Felgona Omollo (Chairperson)
- (ii) Sarah Mbwaya
- (iii) Kenneth Odire

Communication with stakeholders and Corporate Disclosures

Limuru Tea PLC has in place an internal Communication and Corporate Disclosure Policy that sets out the standards of communication to be expected of the Company by its Shareholders; ensures that the Board proactively supplies relevant information to Stakeholders; and aims to enhance transparency and disclosure.

Business Integrity

Limuru Tea PLC's Code of Business Principles ("CoBP") is a simple ethical statement of how we should operate. The CoBP Policies define the ethical behaviours that all employees need to demonstrate when working for the Company. Compliance with the CoBP and its policies is mandatory. While these are for internal use, we also publish them externally in support of transparency.

Breach Management

In order to ensure that potential breaches to our CoBP, Policies and Standards are handled fairly and expeditiously, a Business Integrity Committee meets on a regular basis to review progress of ongoing investigations check on the status of any ongoing disciplinary proceedings and progress agreed actions to closure.

Whistle Blowing

The CoBP provides for avenues through which employees, suppliers and stakeholders can report breached anonymously. Any breaches of the CoBP must be reported.

The Board of the Company will not criticise management for any loss of business resulting from adherence to these principles and other mandatory policies. Provision has been made for employees to be able to report in confidence and no employee will suffer as a consequence of doing so.

The whistle blowing avenue is referred to as 'Confidential Reporting of Issues or Concerns' and it is well published and communicated across the business. It provides avenues for anonymous reporting through a toll-free telephone hotline, a web page as well as through the Business Integrity Officers and Line Managers. This avenue of reporting is available to both external Stakeholders and employees and is annexed to the Governance of Limuru Tea (the Board Charter) and uploaded on the Company's Website.

LIMURU TEA PLC
CORPORATE GOVERNANCE
FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

Business Integrity (Continued)

Whistle Blowing - continued

At Limuru Tea PLC, during the year under review we carried out regular awareness sessions to ensure that our employees and stakeholders are aware of the provisions of the CoBP. There were no sanctions issued to employees under the CoBP during the year.

Risk Management and Controls Assurance

The Company's approach to risk management is in line with Browns's global risk management standards. The Internal Audit Department carries out audits to satisfy themselves on the integrity of financial information. It also performs regular checks to ensure financial controls and systems of risk management are robust and defensible. In collaboration with the Finance Department, the top internal and external risks are ranked based on their likelihood of occurrence and their impact to the business. The respective responsible officers are then tasked with ensuring that robust risk-mitigation controls are in place.

LIMURU TEA PLC

STATEMENT OF THE DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the financial statements of Limuru Tea PLC (the "Company") set out on pages 30 to 63 which comprise the statement of financial position at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and the notes to the financial statements, including material accounting policies.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with IFRS Accounting standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015 the Directors are required to prepare financial statements for each financial year which give a true and fair view of the financial position of the Company as at the end of the financial year and of the profit or loss of the Company for that year. It also requires the Directors to ensure the Company keeps proper accounting records which disclose with reasonable accuracy the financial position and profit or loss of the Company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with IFRS Accounting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the financial statements give a true and fair view of the financial position of the Company and of its profit or loss.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the Company's ability to continue as a going concern and have no reason to believe the Company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on **28 March 2025** and were signed on their behalf by:



Kenneth Odire
Director



Jackline Kanyua
Director

Date: 28 March 2025.



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INDEPENDENT AUDITOR'S REPORT **TO THE MEMBERS OF LIMURU TEA PLC**

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Limuru Tea PLC (the "Company") as set out on pages 30 to 63, which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 December 2024, and of its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in *the Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants *International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code)* together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of biological assets (fuel trees) in the financial statements	
See accounting policy note 3 (c), note 4 - critical accounting estimates and assumptions and note 18 - Biological's assets.	
The key audit matter	How the matter was addressed in our audit
The Company's biological assets include fuel trees which are measured at fair value less costs to sell in accordance with IAS 41 <i>Agriculture</i> .	Our audit procedures in this area included: — Evaluating the effectiveness of the Company's design and implementation and operation of the controls around valuation of fuel trees.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF LIMURU TEA PLC (CONTINUED)**

Report on the audit of the financial statements (Continued)

Key audit matters (continued)

Valuation of biological assets (fuel trees) in the financial statements	
The key audit matter	How the matter was addressed in our audit
Estimating the fair value of fuel trees is a complex process involving several judgments and estimates regarding various inputs including estimating the expected harvest/yields and selling prices at the point of harvest and costs to be incurred to maturity of the biological asset as well as costs to sell at the point of harvest (incremental costs). Due to the nature of the fuel trees, the valuation technique includes a discounted cash flow model that involves judgments and estimates regarding several inputs such as the years to maturity of fuel trees, the discount rate, inflation rate, expected future prices and expected yield/harvest that is based on historical trends derived from internal sources. Valuation of biological assets relating to fuel trees is a key audit matter because estimating the fair values is a complex process involving several judgements and estimates regarding various inputs.	— Evaluating the Company's inputs and assumptions used in calculating the estimated cash flows with respect to yields and incremental costs by comparing previous estimates of yields and costs to maturity and with the Company's plans/budgets, as well as our understanding of the industry and the economic environment the Company operates in. — Evaluating the historical accuracy of the Company's estimated future prices by comparing previous forecasts for prices to actual outcomes (historical prices) and obtaining evidence and explanations for any material variances identified. — Evaluating the reasonableness of the number of fuel trees at the reporting date by measuring the distance between the trees to determine the average number of trees per hectare and using the data to predict the expected number of trees for total area covered by fuel trees. — Evaluating the historical accuracy of the company's assessment of the useful life and harvested quantity with industry information and historical actual outcomes of period to harvest and yield. — Involving our own valuation specialist in evaluation of the appropriateness of the discount rates (weighted average cost of capital) used to discount cash flows relating to fuel trees which included determination of the discount rate by adjusting the risk-free rate of return to the derivative of the equity risk premium and the stock beta to arrive at a Weighted Average Cost of Capital. — Evaluating the adequacy of the financial statement disclosures, including disclosures of key assumptions, judgments and sensitivities in accordance with IAS 41 <i>Agriculture</i> and IFRS 13 <i>Fair Value Measurement</i>.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF LIMURU TEA PLC (CONTINUED)**

Report on the audit of the financial statements (Continued)

Other information

The directors are responsible for the other information. The other information comprises the information included in the Limuru Tea PLC Annual Report and Financial Statements for the year ended 31 December 2024 but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities for the financial statements

The Directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards, and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF LIMURU TEA PLC (CONTINUED)**

Report on the audit of the financial statements (Continued)

Auditor's responsibilities for the audit of the financial statements (continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF LIMURU TEA PLC (CONTINUED)**

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, solely based on our audit of the financial statements, that in our opinion:

- The information in the report of the directors for the year ended 31 December 2024 on page 6 and 7 is consistent with the financial statements; and
- The auditable part of the directors' remuneration report on pages 8 to 10 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Joseph Kariuki, Practicing Certificate Number 2102.

For and on behalf of:

**KPMG Kenya
Certified Public Accountants
PO Box 40612
00100 Nairobi GPO**

Date: 10 April 2025

LIMURU TEA PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 KShs'000	2023 KShs'000
Revenue	6(a)	144,003	137,767
Cost of sales	7	(157,569)	(136,424)
Gross (loss)/profit		(13,566)	1,343
Gains arising from changes in fair value of biological assets less costs to sell	18	1,501	3,798
Other income	8	<u>693</u>	<u>2,950</u>
		(11,372)	8,091
Expenses			
Administrative expenses	9(a)	(7,584)	(7,336)
Other operating expenses	9(b)	(7,210)	(5,170)
Loss from operating activities		(26,166)	(4,415)
Finance income	10	<u>15,537</u>	<u>14,859</u>
(Loss)/profit before taxation	11	(10,629)	10,444
Income tax credit	12(a)	(4,586)	(2,328)
(Loss)/profit after taxation		(15,215)	8,116
Other comprehensive income:			
<i>Items that will never be reclassified to profit or loss:</i>			
Actuarial gain on post-employment benefits obligation	17	786	3,868
Tax effect on actuarial gain on post-employment benefits obligation	16	(236)	(1,160)
Total other comprehensive income net of income tax		<u>550</u>	<u>2,708</u>
Total comprehensive income for the year		(<u>14,665</u>)	<u>10,824</u>
Basic and diluted earnings per share (KShs)	13	(<u>6.34</u>)	<u>3.38</u>

The notes set out on pages 34 to 63 form an integral part of these financial statements.

LIMURU TEA PLC
STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 KShs'000	2023 KShs'000
EQUITY (Page 31)			
Share capital	14	24,000	24,000
Retained earnings		<u>151,153</u>	<u>168,218</u>
Total equity		<u>175,153</u>	<u>192,218</u>
Non-current liabilities			
Deferred income tax liability	16	-	25
Post-employment benefit obligations	17	<u>21,064</u>	<u>16,472</u>
		<u>21,064</u>	<u>16,497</u>
		<u>196,217</u>	<u>208,715</u>
REPRESENTED BY:			
Non-current assets			
Biological assets – fuel trees	18	9,535	9,971
Property and equipment	19	<u>82,240</u>	<u>84,346</u>
		<u>91,775</u>	<u>94,317</u>
Current assets			
Biological asset - green leaf tea	18	1,937	4,958
Current income tax recoverable	12(c)	3	-
Receivables	20	110,872	125,926
Cash and cash equivalents	21	<u>7,237</u>	<u>1,451</u>
		<u>120,049</u>	<u>132,335</u>
Current liabilities			
Post-employment benefit obligations	17	1,050	1,869
Current income tax payable	12(c)	-	1,146
Payables and accrued expenses	22	<u>14,557</u>	<u>14,922</u>
		<u>15,607</u>	<u>17,937</u>
Net current assets		<u>104,442</u>	<u>114,398</u>
		<u>196,217</u>	<u>208,715</u>

The financial statements on pages 30 to 63 were approved and authorised for issue by the board of directors on **28 March 2025** and signed on its behalf by:



 Kenneth Odire
 Director



 Jackline Kanyua
 Director

The notes set out on pages 34 to 63 form an integral part of these financial statements.

LIMURU TEA PLC

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

	Share capital KShs'000	Retained earnings KShs'000	Total equity KShs'000
2024			
At 1 January 2024	24,000	168,218	192,218
Loss for the year	-	(15,215)	(15,215)
Other comprehensive income:			
Actuarial gain on post-employment benefit obligation net of tax	-	550	550
Total comprehensive income for the year	-	(14,665)	(14,665)
Transactions with owners			
Final Dividend for 2023 - Paid	-	(2,400)	(2,400)
Total transactions with owners	-	(2,400)	(2,400)
At 31 December 2024	<u>24,000</u>	<u>151,153</u>	<u>175,153</u>
	Share capital KShs'000	Retained earnings KShs'000	Proposed dividend KShs'000
2023			
At 1 January 2023	24,000	157,394	6,000
Total comprehensive income			
Profit for the year	-	8,116	-
Other comprehensive income:			
Actuarial gain on post-employment benefit obligation net of tax	-	2,708	-
Total comprehensive income for the year	-	<u>10,824</u>	<u>-</u>
Transactions with owners			
Final Dividend for 2022-Paid	-	-	(6,000)
Total transactions with owners	-	-	<u>(6,000)</u>
At 31 December 2023	<u>24,000</u>	<u>168,218</u>	<u>-</u>

The notes set out on pages 34 to 63 form an integral part of these financial statements.

LIMURU TEA PLC

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 KShs'000	2023 KShs'000
Operating activities			
Cash used in operations	23	(1,368)	(3,781)
Income tax paid	12(c)	(5,996)	(3,407)
Interest received	10	15,537	14,859
Gratuity paid	17	<u>-</u>	<u>(491)</u>
Net cash generated from operating activities		<u>8,173</u>	<u>7,180</u>
Investing activities			
Proceeds from sale of property and equipment	8	<u>13</u>	<u>-</u>
Net cash generated from investing activities		<u>13</u>	<u>-</u>
Financing activities			
Final dividends paid		(2,400)	(6,000)
Net cash used in financing activities		<u>(2,400)</u>	<u>(6,000)</u>
Net increase in cash and cash equivalents		<u>5,786</u>	<u>1,180</u>
Movement in cash and cash equivalents:			
At start of year		1,451	271
Increase in the year		<u>5,786</u>	<u>1,180</u>
At end of year	21	<u>7,237</u>	<u>1,451</u>

The notes set out on pages 34 to 63 form an integral part of these financial statements.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024**

1. GENERAL INFORMATION

Limuru Tea PLC is incorporated in Kenya under the Companies Act, 2015 as a public limited liability company, and is domiciled in Kenya. The address of its registered office is:

Limuru Tea Office
Off Nazareth Hospital Road
PO Box 1
Limuru, Kiambu

The Company's shares are listed on the Nairobi Securities Exchange (NSE).

2. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements are prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Board (IFRS Accounting Standards) and in a manner required by the Kenyan Companies Act, 2015. Details of the Company's material accounting policies are included in Note 3.

For Kenyan Companies Act, 2015 reporting purposes in these financial statements, the balance sheet is represented by the statement of financial position and the profit and loss account is represented by the statement of profit or loss and other comprehensive income.

(b) Basis of measurement

The financial statements have been prepared under the historical cost convention, except for biological assets, which have been measured at fair value less costs to sell. The accounting policies adopted are consistent with those of the previous years.

(c) Going Concern

The Company's management has made an assessment of the Company's ability to continue as a going concern and is satisfied that the Company has the resources to continue in business for the foreseeable future. Furthermore, the management is not aware of any material uncertainties that may cast significant doubt upon the Company's ability to continue as a going concern. Therefore, the financial statements have been prepared on the going concern basis.

(d) Use of estimates and judgements

The preparation of financial statements in conformity with IFRS Accounting Standards requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(d) Use of estimates and judgements (continued)

The estimates and assumptions are based on the Directors' best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to the accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of revision and future periods if the revision affects both current and future periods. Information about significant areas of estimations and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are described in Note 4.

(e) Functional and presentation currency

These financial statements are presented in Kenya shillings, which is the Company's functional currency. Except as indicated, financial information presented in Kenya shillings has been rounded to the nearest thousand (Kshs'000).

3. MATERIAL ACCOUNTING POLICIES

(a) Revenue recognition

Revenue is measured based on the consideration to which the Company expects to be entitled in a contract with a customer. The Company recognises revenue when it transfers control of a product or service to a customer. The Company recognises revenue when the amount of revenue can be reliably measured, and it is probable that future economic benefits will flow to the Company and when specific criteria have been met for each of the steps as described below. The Company bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

For the sale of agricultural produce (greenleaf), revenue is recognised when control of the agricultural produce has been transferred, being at the point when the agricultural produce is delivered to the customer at the processing factory. Payment is due immediately at the point the customer takes control of the agricultural produce.

(b) Property and equipment

(i) Recognition and measurement

Items of property and equipment are measured at cost/deemed cost less accumulated depreciation and impairment losses.

Cost includes expenditures that are directly attributable to the acquisition of the asset. Deemed cost (for bearer plants) is taken as the most recent fair value at the point of adoption of the IAS16 amendments on bearer plants in 2016.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(c) Property and equipment

(ii) Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives. Land is not depreciated. The estimated useful lives for the current and comparative periods are as follows:

— Buildings	25 - 40 years
— Motor vehicles	4 years
— Computers, fixtures and fittings	3 - 8 years
— Bearer plants	60 years

Depreciation methods, useful lives and residual values are reassessed and adjusted, if appropriate, at each reporting date.

(iv) Disposal of property and equipment

Gains and losses on disposal of an item of property and equipment are determined by comparing the proceeds from disposal with the carrying amount of property and equipment and are recognised net within other income in profit or loss.

(d) Biological assets

Biological assets are measured on initial recognition and at each reporting date at fair value less costs to sell. Any gains or losses arising on initial recognition of biological assets and from subsequent changes in fair value less cost to sell are recognised in profit or loss in the year in which they arise.

The fair value of fuel plantations is determined based on the net present values of expected future cash flows, discounted at current market-determined pre-tax rates.

All costs of planting, upkeep and maintenance of biological assets are recognised in profit or loss under cost of sales in the period in which they are incurred.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(e) Taxation

Income tax comprises current tax and change in deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognized in equity or in other comprehensive income.

Current income tax is the amount of income tax payable or receivable on the taxable income or loss for the year determined in accordance with the enacted tax legislation, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes, except differences relating to the initial recognition of assets or liabilities which affect neither accounting nor taxable profit.

The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted at the financial reporting date. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax assets and liabilities are offset only if certain criteria are met.

(f) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. When they exist, bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

(g) Finance income

Finance income comprises of interest income from intercompany receivable balance. Interest income is recognised as it accrues in profit or loss using the effective interest rate method. Foreign currency gains and losses are reported on a net basis.

(h) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(i) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(j) Comparative information

Where necessary, comparative figures have been represented to conform with changes in presentation in the current year.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(k) Employee's benefits

(i) *Post-employment benefits*

For unionised employees, the Company has an unfunded obligation to pay terminal gratuities under its Collective Bargaining Agreement with the union. Employees who resign after completing at least ten years of service are entitled to twenty-one days' pay for each completed year of service. The liability recognised in the statement of financial position is the present value of the estimated future cash outflows, calculated annually by independent actuaries using the projected unit credit method.

Actuarial gains and losses arising from changes in actuarial assumptions are recognised immediately in retained earnings through other comprehensive income. Past service costs are recognised immediately in profit/loss. The Company operates a defined benefit scheme for its non-unionised employees. A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The Company and all its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. A defined contribution scheme is a pension scheme under which the company pays fixed contributions into a separate entity. The Company has no legal or constructive obligation to pay further contributions if the fund does not have sufficient assets to pay all employees the benefits relating to employee service in the current or prior periods.

(l) Financial instruments

Financial instruments include balances with banks, trade and other receivables, balances due from and to related parties and trade and other liabilities.

(i) *Recognition*

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. The Company recognises loans and receivables on the date when they are originated. These assets are initially recognised at fair value plus any directly attributable transaction cost. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

All other financial instruments are recognized on the trade date which is the date on which the company becomes party to the contractual provisions of the instrument.

(ii) *Classification and subsequent measurement*

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI) – debt investment; FVOCI – equity investment; or fair value through profit or loss (FVTPL).

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(ii) Classification and subsequent measurement - Continued

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company's management.
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
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LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(I) Financial instruments (continued)

(ii) Classification and subsequent measurement - continued

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in other comprehensive income (OCI). On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(iii) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(iii) Derecognition - continued

Financial assets (continued)

The Company enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

(iv) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, it is the Company policy to do so. This is done when the Company has an enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(m) Impairment

(i) Non-derivative financial assets

Financial instruments

The Company recognises loss allowances for ECLs on financial assets measured at amortised cost. The Company measures loss allowances at an amount equal to lifetime ECLs, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables are always measured at an amount equal to lifetime ECLs.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward-looking information.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Impairment (continued)

(i) *Non-derivative financial assets - continued*

Financial instruments - continued

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due.

The Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Company assesses whether financial assets carried at amortised cost.

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer.
- a breach of contract such as a default or being more than 90 days past due.
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise.
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Impairment (continued)

(i) Non-derivative financial assets – continued

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

For debt securities at FVOCI, the loss allowance is charged to profit or loss and is recognised in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Company has a policy of writing off the gross carrying amount when the financial asset is 90 days past due based on historical experience of recoveries of similar assets.

The Company expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

Financial assets not classified as at FVTPL were assessed at each reporting date to determine whether there was objective evidence of impairment.

Objective evidence that financial assets were impaired included:

- default or delinquency by a debtor;
- restructuring of an amount due to the Company on terms that the Company would not consider otherwise;
- indications that a debtor or issuer would enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security because of financial difficulties; or
- observable data indicating that there was a measurable decrease in the expected cash flows from a group of financial assets.

For financial assets measured at amortised cost, the Company considered evidence of impairment for these assets at an individual level

In assessing impairment, the Company uses historical information on the timing of recoveries and the amount of loss incurred and made an adjustment if current economic and credit conditions were such that the actual losses were likely to be greater or lesser than suggested by historical trends.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Impairment (continued)

(i) *Non-derivative financial assets – continued*

Write-off - continued

An impairment loss is calculated as the difference between an asset's carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses are recognised in profit or loss and reflected in an allowance account. When the Company considers that there are no realistic prospects of recovery of the asset, the relevant amounts were written off. If the amount of impairment loss subsequently decreased and the decrease was related objectively to an event occurring after the impairment was recognised, then the previously recognised impairment loss is reversed through profit or loss.

(ii) *Non-financial assets*

The carrying amounts of the Company's non-financial assets other than inventories are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss.

Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro-rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

(n) New standards and interpretations

The Company has adopted the following new standards and amendments during the year ended 31 December 2024, including consequential amendments to other standards with the date of initial application by the Company being 1 January 2024.

(i) *Standards adopted during the year ended 31 December 2024 are summarized below;*

New amendments or interpretation	Effective date
—Classification of liabilities as current or non-current (Amendments to IAS 1)	1 January 2024
—Lease Liability in a Sale and Leaseback (Amendments to IFRS 16)	1 January 2024
—Non-current Liabilities with Covenants (Amendments to IAS 1)	1 January 2024
—Disclosures – Supplier Finance Arrangements (Amendments to IAS 7 and IFRS 7)	1 January 2024

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(n) New standards and interpretations (continued)

The adoption of these amendments did not have a material impact on the financial statements of the Company.

(ii) *New and amended standards and interpretations in issue but not effective for the year ended 31 December 2024*

New amendments or interpretation	Effective for annual periods beginning on or after
— Lack of Exchangeability (Amendments to IAS 21)	1 January 2025
— Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)	1 January 2026
— Annual improvements to IFRS Accounting Standards (Amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7)	1 January 2026
— IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information and — IFRS S2 Climate-related Disclosures	1 January 2027
— IFRS 18 Presentation and Disclosure in Financial Statements	1 January 2027
— IFRS 19 Subsidiaries without Public Accountability: Disclosures	1 January 2027
— Sale or Contribution of Assets between an Investor and its Associate or Company (Amendments to IFRS 10 and IAS 28).	Optional

The Standards will be adopted at their effective date (except for the standards and interpretations that are not applicable to the entity). The only standard that is expected to have an impact on the financial statements is IFRS 18 Presentation and disclosure in financial statements. It requires the Company to report a newly defined subtotal, 'operating profit'; disclose certain 'non-GAAP' measures – such as management-defined performance measures (MPMs) in the financial statements, meaning that they will now be subject to audit such as adjusted Earnings Before Income Tax, Depreciation and Amortisation (EBITDA) and to improve how the Company information is presented. The Company is assessing the impact for adoption.

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(a) Critical accounting estimates and assumptions

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

4. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS (Continued)

(a) Critical accounting estimates and assumptions (continued)

Biological assets

Critical assumptions are made by the directors in determining the fair values of biological assets. The key assumptions are set out in Note 18.

Post-employment benefits

The present value of the Company's gratuity obligation depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for gratuity include the discount rate. Any changes in these assumptions will impact the carrying amount of gratuity obligations.

The Company determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the gratuity obligation. In determining the appropriate discount rate, the Company considers the interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability. The key assumptions are set out in Note 17.

Useful lives of plant and equipment

The Company's management determines the estimated useful lives and related depreciation charges for its plant and equipment. This estimate is based on projected product lifecycles for its high-tech segment. It could change significantly as a result of technical innovations and competitor actions in response to severe industry cycles. Management will increase the depreciation charge where useful lives are less than previously estimated lives, or it will write-off or write-down technically obsolete or non-strategic assets that have been abandoned or sold. The estimated useful lives are set out in Note 3(c)(iii).

Income taxes

The Company is subject to income taxes. Significant judgment is required in determining the Company's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(b) Critical accounting judgements

In the process of applying the Company's accounting policies, directors make certain judgements that are continuously assessed based on prior experience and other determinants including expectations of future events that, under the circumstances are deemed to be reasonable as described below:

- determination of fair value of biological assets
- useful lives and value of property, plant and equipment
- whether financial and non-financial assets are impaired
- the assessment of going concern assumptions.
- the determination of provision for deferred and income taxes.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company's activities expose it to a variety of financial risks including credit risk and liquidity risk. The Company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance, but the Company does not hedge any risks.

Financial risk management is carried out by the finance department under policies approved by the Board of Directors.

(a) Market risk

(i) Foreign exchange risk

The Company operates locally, and its transactions are in local currency. There is no exposure to foreign exchange risk.

(ii) Price risk

The Company does not hold any financial instruments subject to price risk.

(iii) Interest rate risk

Interest rate risk is the risk that the future profitability and/or cash flows of financial instruments will fluctuate because of changes in the market interest rates. The Company's exposure to interest rate risk is due to a related party balance due from Browns East Africa Plantations PLC as shown below.

	2024	2023
	KShs'000	KShs'000
Related party receivables (Note 24(e))	110,872	121,525
Interest rate	15.01%	15.98%
Interest income earned during the year	15,537	14,859

Had the interest rate increased/decreased by 10%, the profit or loss and equity would have increased/(decreased) as shown below, with all other variables held constant.

	Effect on profit before tax		Effect on equity	
	2024	2023	2024	2023
	KShs'000	KShs'000	KShs'000	KShs'000
10% increase in interest rate	1,554	1,486	1,088	1,040
10% decrease in interest rate	(1,554)	(1,486)	(1,088)	(1,040)

(b) Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables and committed transactions. Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company.

The Company only sells its products to its parent company and does not have any other significant concentration of credit risk. No collateral is held for any of the assets. All receivables are neither past due nor impaired and are within their approved credit limits, and no receivables have had their terms renegotiated.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Credit risk (continued)

The Company's exposure to credit risk is summarized below:

	2024 KShs'000	2023 KShs'000
Receivables (Note 20)	110,872	125,525
Bank balances (Note 21)	<u>7,237</u>	<u>1,451</u>
	<u>118,109</u>	<u>126,976</u>

Intercompany and other receivables

The Company held intercompany and other receivables of KShs 110,872,000 (2023 – 125,525,000). The calculation of ECL considers historical experience over the last 12 months, current conditions, exchange rates and country risk. This was applied to the gross outstanding amount. The assessed impairment on the intercompany and other receivable was deemed immaterial and hence not recognised in these financial statements.

Cash and cash equivalents

The Company held cash and cash equivalents of KShs 7,237,000 (2023 – KShs 1,451,000) with KCB Bank Kenya PLC, which is rated Ba1, based on GCR, S&P and Moody's ratings. Impairment on cash and cash equivalents has been measured on a 12-month expected credit loss basis and reflects the short maturities of the exposures. The Company considers that its cash and cash equivalents have insignificant credit risk due to the short-term nature of the balances. The assessed impairment on the cash and bank balances was KShs 137,936 (2023 – KShs 27,656) which was deemed immaterial and hence not recognised in these financial statements.

(c) Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash balances, and the availability of funding from an adequate amount of committed credit facilities. Due to the dynamic nature of the underlying businesses, the finance department maintains flexibility in funding by maintaining availability under committed credit lines.

The table below analyses the Company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying values, as the impact of discounting is not significant.

31 December 2024:	Up to 1 month KShs'000	1-3 months KShs'000	3-12 months KShs'000	1-5 years KShs'000	Over 5 years KShs'000	Total KShs'000
Liabilities						
Trade payables and accrued expenses	9,251	-	-	-	-	9,251
Other payables	<u>-</u>	<u>-</u>	<u>5,306</u>	<u>-</u>	<u>-</u>	<u>5,306</u>
Total liabilities	<u>9,251</u>	<u>-</u>	<u>5,306</u>	<u>-</u>	<u>-</u>	<u>14,557</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Liquidity risk (continued)

31 December 2023:	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Liabilities						
Trade payables and accrued expenses	9,259	-	-	-	-	9,259
Other payables	-	-	5,663	-	-	5,663
Total liabilities	9,259	-	5,663	-	-	14,922

(d) Operational risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Company's processes, personnel, technology and infrastructure and from external factors other than credit, market and liquidity risks such as those arising from legal and regulatory requirements and generally accepted standards of corporate behavior. Operational risks arise from all of the Company's operations.

The Company's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Company's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity. The primary responsibility for the development and implementation of controls to address operational risk is assigned to management. This responsibility is supported by the development of overall Company's standards for the management of operational risk in the following areas:

- Requirements for appropriate segregation of duties, including the independent authorisation of transactions.
- Requirements for the reconciliation and monitoring of transactions.
- Compliance with regulatory and other legal requirements.
- Documentation of controls and procedures.
- Requirements for the periodic assessment of operational risks faced, and the adequacy of controls and procedures to address the risks identified.
- Requirement for the reporting of operational losses and proposed remedial action.
- Development of contingency plans.
- Training and professional development.
- Ethical and business standards.
- Risk mitigation including insurance where this is effective.

(e) Climate risk

Agricultural risk is the risk of direct or indirect loss arising from adverse agricultural conditions such as disease outbreaks, floods, droughts and other adverse weather events caused by climatic changes.

The Company's risk management process with respect to climate-related risks focuses on anticipating, avoiding and/or reacting to shocks attributable to adverse agricultural conditions. The Company's objective is to achieve an efficient risk management system for agriculture that preserves the value of agricultural outputs, strengthens the viability of farm businesses, and ensures an environment which supports and sustains continued investment in the farming sector.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

5. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(f) Capital risk management

Capital comprises all components of equity (i.e. share capital and accumulated revenue reserves). The Company's objectives when managing capital are to safeguard the Company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Company may limit the amount of dividends paid to shareholders. During 2024 the Company's strategy which was unchanged from 2023, was to use funds generated from internal sources. No funds were borrowed from the market.

(g) Fair value estimation

The fair values of significant financial assets and liabilities approximates the carrying amounts as shown in the statement of financial position due to the short term nature of these items. The company did not have financial assets as at 31 December 2024 and 31 December 2023 classified under the following categories in the fair value hierarchy:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

The receivables and payables are short term in nature and the carrying amounts approximate their fair values.

6. REVENUE

	2024	2023
	KShs'000	KShs'000
(a) Revenue		
Sale of green tea leaf to Browns East Africa Plantations PLC	<u>144,003</u>	<u>137,767</u>

Performance obligations and revenue recognition policies

Revenue is measured based on the consideration specified in a contract with a customer. The Company recognises revenue when it transfers control over the green tea leaf to a customer.

The following table provides information about the nature and timing of the satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

6. REVENUE (Continued)

Performance obligations and revenue recognition policies (continued)

Type of product/ service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under IFRS 15
Green tea leaf	The customer obtains control of the green tea leaf when it is delivered to and has been accepted at the customer's black tea factory. Invoices are generated at that point in time. The credit period varies depending on the agreement between the Company and the customer. These invoices are payable on demand.	Revenue is recognised when the goods are delivered and have been accepted by customers at their premises. The products are inspected before acceptance and the customer signs to acknowledge receipt of goods. Further, the customer indicates whether the goods are in a good condition and are as per the orders. Upon the confirmation, the Company is satisfied that the performance obligation has been met and revenue is recognised at this point.

(b) Segment reporting

The Company has only one business segment (growing of green tea leaf) and it sells all its produce to Browns East Africa Plantations PLC (formerly Lipton Teas and Infusions Kenya PLC) which is domiciled in Kenya. Management has determined the operating segments based on the reports reviewed by the managing director that are used to make strategic decisions. All its assets are based in Kenya. The managing director assesses performance based on profit before income tax, as presented in the statement of profit or loss and other comprehensive income.

7. COST OF SALES	2024 KShs'000	2023 KShs'000
Labour costs	123,107	105,705
Fertilizers and chemicals	11,807	17,372
Depreciation expense (Note 19)	2,106	2,106
Changes due to harvest (Note 18)	4,958	-
Other costs and expenses*	15,591	11,241
	<u>157,569</u>	<u>136,424</u>

*The following items are included within other costs and expenses:

Other material costs	4,930	2,674
Third party charges	4,758	3,957
Production cess	1,670	1,378
Management commission	3,341	2,755
Interunit charges	892	477
	<u>15,591</u>	<u>11,241</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

8. OTHER INCOME	2024	2023
	KShs'000	KShs'000
Sale of firewood	-	4,416
Less: Fair value changes due to harvest	-	(2,266)
Rental income	618	800
Sale of scrap materials	62	-
Gain on disposal of property and equipment	13	-
	<u>693</u>	<u>2,950</u>
9. EXPENSES		
(a) Administrative expenses		
Administrative staff costs	2,011	2,127
Rates and utilities	4,540	2,741
Bank charges	460	275
Welfare expenses	536	2,070
Office expenses/land rates/licences	37	123
	<u>7,584</u>	<u>7,336</u>
(b) Other operating expenses		
Subscriptions and publications	5,170	2,952
Professional services fees	2,040	2,218
	<u>7,210</u>	<u>5,170</u>
10. FINANCE INCOME		
Interest income	<u>15,537</u>	<u>14,859</u>
11. (LOSS)/PROFIT BEFORE TAX		
The following items have been charged/(credited) in arriving at the loss before income tax:		
Employee benefits expense*	125,118	107,832
Depreciation of property and equipment (Note 19)	2,106	2,106
Repairs and maintenance expenditure on property and equipment	441	688
Auditor's remuneration	870	747
Interest income	(15,537)	(14,859)
*The following items are included within employee benefits expense:		
	2024	2023
	KShs'000	KShs'000
Salaries and wages	119,326	100,157
Post-employment benefits costs:		
- Unfunded gratuity provision (Note 17)	4,559	3,973
- National Social Security Fund	1,233	3,702
Total*	<u>125,118</u>	<u>107,832</u>
*The following is the split of staff cost between cost of sales and administrative expenses:		
Labour costs (Note 7)	123,107	105,705
Administrative staff costs (Note 9(a))	2,011	2,127
	<u>125,118</u>	<u>107,832</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

11. PROFIT BEFORE TAX (Continued)

The average numbers of staff engaged by the company during the year were:

	2024	2023
Management	1	1
Non-management	116	130
Term contract employees	<u>301</u>	<u>276</u>
Total	<u>418</u>	<u>407</u>

12. TAXATION

	2024	2023
	KShs'000	KShs'000
(a) Income tax credit		
<i>Current income tax:</i>		
Current year	4,847	4,698
<i>Deferred tax:</i>		
Deferred tax credit (Note 16(a))	(7,624)	(2,370)
Derecognition of deferred tax (Note 16(b))	<u>7,363</u>	<u>-</u>
Income tax charge	<u>4,586</u>	<u>2,328</u>

(b) Reconciliation of tax expense and accounting profit

The tax on the Company's loss before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	2024	2023
	KShs'000	KShs'000
(Loss)/profit before income tax	(10,629)	10,444
Tax at 30% (2023 – 30%)	(3,189)	3,133
Tax effects of expenses not deductible for tax purposes	412	57
Prior adjustment	-	(862)
Derecognition of deferred tax asset (Note 16(a))	<u>7,363</u>	<u>-</u>
Income tax charge	<u>4,586</u>	<u>2,328</u>

(c) Movement in tax (recoverable)/payable

	2024	2023
	KShs'000	KShs'000
Balance at 1 January	1,146	(145)
Charge for the year	4,847	4,698
Taxation paid	<u>(5,996)</u>	<u>(3,407)</u>
Tax (recoverable)/payable	<u>(3)</u>	<u>1,146</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

13. EARNINGS PER SHARE

Basic earnings per share are calculated by dividing the profit or loss attributable to equity holders of the Company by the weighted average number of ordinary shares in issue during the year.

	2024	2023
Loss/Profit attributable to equity holders (KShs'000')	<u>(15,215)</u>	<u>8,116</u>
Weighted average number of ordinary shares in issue (thousands)	<u>2,400</u>	<u>2,400</u>
Basic earnings per share (KShs)	<u>(6.34)</u>	<u>3.38</u>

There were no potentially dilutive shares outstanding at 31 December 2024 (2023 – Nil). Diluted earnings per share are therefore the same as basic earnings per share.

14. SHARE CAPITAL

Ordinary shares capital authorised, issued and fully paid	2024 Kshs '000	2023 KShs'000
Balance at 1 January 2023, 31 December 2023 and 31 December 2024 - Par value of KShs 10 per share	<u>24,000</u>	<u>24,000</u>

All issued shares are fully paid. All ordinary shares rank equally with regard to the Company's residual assets. Holders of these shares are entitled to dividends as declared from time to time and are entitled to one vote per share at the general meeting of the Company.

15. DIVIDENDS PER SHARE

The Directors do not recommend payment of dividends for the year ended 31 December 2024 (2023 - KShs 1.00 per ordinary share).

16. DEFERRED TAX

(a) Recognised deferred tax

Deferred tax is calculated using the enacted income tax rate of 30% (2023 – 30%). The movement on the deferred income tax account is as follows:

	1 January	Charged/ (credited) At to profit or loss	Credited to other comprehensive income	Derecognized during the year through profit and loss*	At 31 December
2024:	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Deferred tax liabilities					
Biological assets	4,479	(1,037)	-	(3,442)	-
Property and equipment	<u>23,426</u>	<u>(551)</u>	<u>-</u>	<u>(22,875)</u>	<u>-</u>
	<u>27,905</u>	<u>(1,588)</u>	<u>-</u>	<u>(26,317)</u>	<u>-</u>
Deferred tax assets					
Post-employment benefit obligations	(5,650)	(1,221)	236	6,635	-
Tax losses	(21,356)	(4,658)	-	26,014	-
Other temporary differences	<u>(874)</u>	<u>(157)</u>	<u>-</u>	<u>1,031</u>	<u>-</u>
	<u>(27,880)</u>	<u>(6,036)</u>	<u>236</u>	<u>33,680</u>	<u>-</u>
Net deferred tax liability/(asset)	<u>25</u>	<u>(7,624)</u>	<u>236</u>	<u>7,363</u>	<u>-</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

16. DEFERRED TAX (Continued)

(a) Recognised deferred tax (Continued)

* The deferred tax asset has been derecognised until when convincing evidence that sufficient taxable profit will be available against which the unused tax losses or unused tax credits can be utilised by the entity (Note 16(b)).

2023:	At 1 January KShs'000	Charged/ (credited) to profit or loss KShs'000	Credited to other comprehensive income KShs'000	At 31 December KShs'000
Deferred tax liabilities				
Biological assets	4,019	460	-	4,479
Property and equipment	<u>24,776</u>	<u>(1,350)</u>	<u>-</u>	<u>23,426</u>
	<u>28,795</u>	<u>(890)</u>	<u>-</u>	<u>27,905</u>
Deferred tax assets				
Post-employment benefit obligations	(5,618)	(1,192)	1,160	(5,650)
Tax losses	(20,083)	(1,273)	-	(21,356)
Other temporary differences	<u>(1,859)</u>	<u>985</u>	<u>-</u>	<u>(874)</u>
	<u>(27,560)</u>	<u>(1,480)</u>	<u>1,160</u>	<u>(27,880)</u>
Net deferred tax liability	<u>1,235</u>	<u>(2,370)</u>	<u>1,160</u>	<u>25</u>

(b) Derecognised deferred tax

2024:	At 1 January KShs'000	Derecognized during the year through profit and loss KShs'000	At 31 December KShs'000
Deferred tax liabilities			
Biological assets		(3,442)	(3,442)
Property and equipment	<u>-</u>	<u>(22,875)</u>	<u>(22,875)</u>
	-	<u>(26,317)</u>	<u>(26,317)</u>
Deferred tax assets			
Post-employment benefit obligations		6,635	6,635
Tax losses	-	26,014	26,014
Other temporary differences	<u>-</u>	<u>1,031</u>	<u>1,031</u>
	-	<u>33,680</u>	<u>33,680</u>
Net derecognised deferred tax asset	<u>-</u>	<u>7,363</u>	<u>7,363</u>

17. POST-EMPLOYMENT BENEFIT OBLIGATIONS

The Company operates a defined benefit scheme for its non-unionised employees. A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

17. POST-EMPLOYMENT BENEFIT OBLIGATIONS (Continued)

Post-employment benefit unfunded obligation comprises of the following:

	2024 KShs'000	2023 KShs'000
Post-employment service gratuity-noncurrent portion	21,064	16,472
Post-employment service gratuity-current portion	<u>1,050</u>	<u>1,869</u>
	<u>22,114</u>	<u>18,341</u>

The movement in the present value of the unfunded obligation for service gratuities is as follows:

	2024 KShs'000	2023 KShs'000
At 1 January	18,341	18,727
Charged to income statement	4,559	3,973
Actuarial gain recognised in other comprehensive income	(786)	(3,868)
Payments in the year	<u>-</u>	<u>(491)</u>
At 31 December	<u>22,114</u>	<u>18,341</u>

The amounts recognised in the income statement for the year are as follows:

	2024 KShs'000	2023 KShs'000
Current service cost	1,617	1,645
Interest cost	<u>2,942</u>	<u>2,328</u>
Total, included in employee benefits expense (Note 11)	<u>4,559</u>	<u>3,973</u>

The principal actuarial assumptions used were as follows:

	2024	2023
Discount rate	15%	16.9%
Future salary increases	9%	9%
Inflation	7.5%	7.5%

The interest rates are based on the interest rates of corresponding five-year government bond yields. The inflation rate is based on the Country's long-term inflation obtained from the Central Bank of Kenya. The future salary increases are based on the long-term salary increases which have been set at 9%, which is 1.5% increase over the long-term inflation of 7.5%.

Demographic assumptions

The principal statistical assumption is the service-related rates of withdrawal from service.

The demographic assumptions have assumed that approximately half of the members do not reach the vesting requirement and of those who remain, a significant number leave soon after becoming vested.

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is:

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

17. POST-EMPLOYMENT BENEFIT OBLIGATIONS (Continued)

Demographic assumptions (Continued)

	Base assumptions	Discount rate + 0.5%	Discount rate - 0.5%	Inflation + 0.5%	Inflation 0.5%
2024:	KShs 'millions'	KShs 'millions'	KShs 'millions'	KShs 'millions'	KShs 'millions'
Liability	22	22	23	23	22
Service cost	2	2	2	2	2
Interest cost	3	3	3	4	3

	Base assumptions	Discount rate + 0.5%	Discount rate - 0.5%	Inflation + 0.5%	Inflation 0.5%
2023:	KShs 'millions'	KShs 'millions'	KShs 'millions'	KShs 'millions'	KShs 'millions'
Liability	18	18	19	19	18
Service cost	1	1	1	1	1
Interest cost	3	3	3	3	3

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the pension liability recognised within the statement of financial position.

The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period.

Through its post-employment benefit obligation, the company is exposed to a number of risks, the most significant of which are detailed below:

Inflation risk

Some of the company pension obligations are linked to inflation, and higher inflation will lead to higher liabilities (although, in most cases, caps on the level of inflationary increases are in place to protect the plan against extreme inflation).

Life expectancy

Majority of the plans' obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plans liabilities. This is particularly significant where inflationary increases result in higher sensitivity to changes in life expectancy.

18. BIOLOGICAL ASSETS

Biological assets comprise of fuel trees plantations and un-harvested green tea leaf on tea bushes at the reporting date.

Fuel Trees

Fuel trees are carried at fair value less costs to sell. The fair values of trees were determined based on the discounted net present values of expected net cash flows from those assets, discounted at a current Weighted Average Cost of Capital (WACC). In determining the fair values of fuel trees, the directors have made certain assumptions about the yields and market prices of trees in future years, and the costs of running the estates.

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

18. BIOLOGICAL ASSETS (Continued)

Fuel Trees- Continued

The key assumptions made concerning the future (projected over 8 years in respect of fuel trees) for 2024 and 2023 are as follows:

- Climatic conditions will fairly remain the same with the expected changes not having a material impact on the biological assets.
- It takes 8 years to achieve full economic benefit from growing Gum tree.
- The market price tree plantations, is based on the prevailing market prices, adjusted for annual inflation.
- One pole gives 0.36 cubic meter for trees harvested at 8 years with 2.75 metres by 2.75 metres spacing, 0.51 cubic meter for trees harvested at 8 years with 2 metres by 2 metres spacing
- Weighted Average Cost of Capital is 19.71%.
- Average distance from the Estate to factory is 10 kms.
- The cost to sell is based on the actual costs of harvest and transport, adjusted for annual inflation.

The discount rate applied to the expected net cash flows was 19.71% (2023 – 19.69%) based on the weighted average cost of capital.

The company also had 21.7 hectares (2023 – 21.7 hectares) of fuel tree plantations at year end. The Company did not harvest any trees in the year ended 31 December 2024 (2023 – KShs 4,415,800).

Un-harvested green tea leaf

The un-harvested green leaf on tea bushes at the reporting date are measured at fair value less costs to sell using IAS 41 *Agriculture*. The directors have made certain assumptions about the yields and market prices of green tea leaf and the cost of running the estates as follows:

- The Company's average harvest cycle is 14 days. The data used is the projected crop harvest for January 2025.
- Weather conditions are expected to remain relatively stable.
- The green tea leaf price that the Company pays to its third party out-growers is a reasonable estimate of the price the Company expects to fetch for final product sold in the market (black tea) less processing and other incidental costs. Consequently, the out-grower rate has been used to fair value the un-harvested green tea leaf at the reporting date; and
- The harvest cycle is short enough (14 days) not to require discounting.

The Company's tea estates harvested 3,731,600 Kgs (2023 – 3,388,270 Kgs) of green tea leaf with a value of KShs 144 million (2023 – KShs 138 million) for the year ended 31 December 2024.

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Quoted prices (unadjusted) in active markets for identical assets or liabilities (level 1).
- Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2).
- Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs) (level 3).

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

18. BIOLOGICAL ASSETS (Continued)

Un-harvested green tea leaf – Continued

The following table presents Company's biological assets that are measured at fair value at 31 December 2024 and 31 December 2023.

Year ended 31 December 2024:	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
Tea bushes				
- Green tea leaf	-	1,937	-	1,937
Fuel trees				
- Mature	<u>-</u>	<u>-</u>	<u>9,535</u>	<u>9,535</u>
	<u><u>-</u></u>	<u><u>1,937</u></u>	<u><u>9,535</u></u>	<u><u>11,472</u></u>
Year ended 31 December 2023:	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
Tea bushes				
- Green tea leaf	-	4,958	-	4,958
Fuel trees				
- Mature	<u>-</u>	<u>-</u>	<u>9,971</u>	<u>9,971</u>
	<u><u>-</u></u>	<u><u>4,958</u></u>	<u><u>9,971</u></u>	<u><u>14,929</u></u>

The fair value of biological assets at 31 December 2024 and 31 December 2023 is classified as follows:

Year ended 31 December	2024 KShs'000	2023 KShs'000
Non-current (fuel trees)	9,535	9,971
Current (green tea leaf)	<u>1,937</u>	<u>4,958</u>
	<u><u>11,472</u></u>	<u><u>14,929</u></u>

The movement in the fair value of the assets within level 2 and level 3 of the hierarchy is as follows:

Year ended 31 December 2024	Green tea leaf KShs' 000	Fuel Trees KShs' 000	Total KShs' 000
Carrying value as at 1 January 2024	4,958	9,971	14,929
Change in fair value less costs to sell:			
— Due to price/cost estimate	1,937	(436)	1,501
— Changes due to harvest (Note 7)	(4,958)	<u>-</u>	<u>(4,958)</u>
Carrying value as at 31 December 2024	<u><u>1,937</u></u>	<u><u>9,535</u></u>	<u><u>11,472</u></u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

18. BIOLOGICAL ASSETS (Continued)

Un-harvested green tea leaf – Continued

Year ended 31 December 2023	Green tea leaf KShs' 000	Fuel Trees KShs' 000	Total KShs' 000
Carrying value as at 1 January 2023	5,086	8,311	13,397
Change in fair value less costs to sell:			
— Due to price/cost estimate	(128)	3,926	3,798
— Changes due to harvest (Note 8)	— -	(2,266)	(2,266)
Carrying value as at 31 December 2023	<u>4,958</u>	<u>9,971</u>	<u>14,929</u>

The following table summarizes the techniques, significant unobservable inputs and the interrelationship between key unobservable inputs and fair value measurement of the biological assets.

Type	Fuel trees (standing timber)	Green tea leaf
Valuation technique	Discounted cash flows: The valuation model considers the present value of the net cash flows expected to be generated by the plantation. The cash flow projections include specific estimates for 8 years. The expected net cash flows are discounted using a risk-adjusted discount rate.	The valuation model considers the fair value of the un-harvested green leaf tea as at December 2024. Green tea leaf volumes were determined by taking weighted average of a 14 day plucking cycle. This was then valued using the 2024 out-grower average price.
Significant unobservable inputs	— Estimated future fuel wood market prices per cubic meter (5% annual inflation of current prices of KShs 3,063/M³). (2023 – 3.6% inflation prices of Ksh 3,000/M³). — Estimated future costs (5% inflation of current cost of KSh 344/M³). (2023 - 6% inflation of current cost of KShs 336/M³). — Estimated yields per hectare 753M³(2023 - 753M³). — Weighted average cost of capital of 19.71% (2023 – 19.69%).	— Estimated unharvested green tea leaf volume as at year-end. — Own out-grower rate. — Inability to obtain accurate green leaf tea market price.
Inter-relationship between key unobservable inputs and fair value measurement	The estimated fair value would increase (decrease) if: — The estimated timber prices per cubic meter were higher(lower); — The estimated yields per hectare were higher(lower); — The estimated harvest, replanting, weeding, transportation costs, land rates and infrastructure development costs were lower (higher); or — The risk-adjusted discount rates were lower(higher).	The estimated fair value would increase (decrease) if: — The out-grower green tea leaf prices per kilogram were higher(lower); — The estimated unharvested volumes were higher(lower);

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

18. BIOLOGICAL ASSETS (Continued)

Financial risk management strategies

The Company is exposed to risks arising from environmental and climatic changes, commodity prices and financing risks. The Company has strong environmental policies and procedures in place to comply with environmental and other laws.

19. PROPERTY AND EQUIPMENT

2024:	Buildings KShs'000	Motor vehicles KShs'000	Computers fixtures & fittings KShs'000	Bearer plants KShs'000	Total KShs'000
Cost					
At 1 January 2024	8,275	1,624	18	231,020	240,937
Disposals	—	(13)	—	—	(13)
At 31 December 2024	<u>8,275</u>	<u>1,611</u>	<u>18</u>	<u>231,020</u>	<u>240,924</u>
Depreciation					
At 1 January 2024	4,381	1,624	18	150,568	156,591
Charge for the year	206	—	—	1,900	2,106
Disposals	—	(13)	—	—	(13)
At 31 December 2024	<u>4,587</u>	<u>1,611</u>	<u>18</u>	<u>152,468</u>	<u>158,684</u>
Carrying amount					
At 31 December 2024	<u>3,688</u>	<u>—</u>	<u>—</u>	<u>78,552</u>	<u>82,240</u>

The Company has assets with total cost of KShs 118,886,793 which have been fully depreciated and have a net book value of Nil.

2023:	Buildings KShs'000	Motor vehicles KShs'000	Computers fixtures & fittings KShs'000	Bearer plants KShs'000	Total KShs'000
Cost					
At 1 January 2023 and 31 December 2023	<u>8,275</u>	<u>1,624</u>	<u>18</u>	<u>231,020</u>	<u>240,937</u>
Depreciation					
At 1 January 2023	4,176	1,624	18	148,667	154,485
Charge for the year	<u>205</u>	—	—	<u>1,901</u>	<u>2,106</u>
At 31 December 2023	<u>4,381</u>	<u>1,624</u>	<u>18</u>	<u>150,568</u>	<u>156,591</u>
Carrying amount					
At 31 December 2023	<u>3,894</u>	<u>—</u>	<u>—</u>	<u>80,452</u>	<u>84,346</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)

20. RECEIVABLES	2024 KShs'000	2023 KShs'000
Receivable from parent (Note 24 (e))	110,872	121,525
Other receivables*	<u>-</u>	<u>4,401</u>
	<u>110,872</u>	<u>125,926</u>

* Other receivables related to amount receivable from Poles and Posts Treatment Plant Limited from sale of trees.

21. CASH AND CASH EQUIVALENTS	2024 KShs'000	2023 KShs'000
Cash at bank	<u>7,237</u>	<u>1,451</u>

22. PAYABLES AND ACCRUED EXPENSES	2024 KShs'000	2023 KShs'000
Trade payables and accrued expenses	9,251	9,259
Transport costs accrual	431	410
Payroll costs accrual	<u>4,875</u>	<u>5,253</u>
	<u>14,557</u>	<u>14,922</u>

23. CASH USED IN OPERATIONS

Reconciliation of profit before income tax to cash used in operations:

	2024 KShs'000	2023 KShs'000
(Loss)/profit before income tax	(10,629)	10,444
Adjustments for:		
Interest income (Note 10)	(15,537)	(14,859)
Depreciation (Note 19)	2,106	2,106
Gain on disposal of property and equipment	(13)	-
Gains arising from changes in fair value less estimated costs to sell for biological assets (Note18)	(1,501)	(3,798)
Loss arising from changes due to harvest for biological assets (Note18)	4,958	2,266
Post-employment benefit obligations – charge to income statement (Note 17)	4,559	3,973
Changes in working capital:		
— receivables	15,054	(2,494)
— payables and accrued expenses	<u>(365)</u>	<u>(1,419)</u>
Cash used in operations	<u>(1,368)</u>	<u>(3,781)</u>

LIMURU TEA PLC

NOTES TO THE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2024 (CONTINUED)**

24. RELATED PARTY TRANSACTIONS

The Company is controlled by Browns East Africa Plantations PLC (formerly Lipton Teas and Infusions Kenya PLC) incorporated in Kenya. The ultimate parent and ultimate controlling related party of the Company is LOLC Holdings PLC. There are other companies that are related to Limuru Tea PLC through common shareholdings.

The following transactions were carried out with related parties:

(a) Sale of goods	2024	2023
	KShs'000	KShs'000
Browns East Africa Plantations PLC- Sale of green tea leaf	<u>144,003</u>	<u>137,767</u>
(b) Purchase of goods and services from Browns East Africa Plantations PLC:		
Management services	2,880	2,755
Fertilizers and chemicals	11,807	17,372
Other material costs	<u>4,930</u>	<u>2,674</u>
	<u>19,617</u>	<u>22,801</u>
(c) Key management compensation		

The company is managed by its parent company Browns East Africa Plantations PLC and is charged management fees. It does not pay any remuneration to its key management personnel other than the directors' remuneration below.

(d) Directors' remuneration	2024	2023
	KShs'000	KShs'000
Directors' fees	<u>2,011</u>	<u>2,127</u>
(e) Outstanding balances arising from sale of goods and services.		

	2024	2023
	KShs'000	KShs'000
Receivables from Browns East Africa Plantations PLC	<u>110,872</u>	<u>121,525</u>

The expected credit loss (ECL) applying IFRS 9 impairment assessment did not result in a material impairment (2023 – Nil).

The amount due from Browns East Africa Plantations PLC is interest earning. The interest rate is pegged on the rate of Kenya Government securities. At 31 December 2024, the interest rate was 15.01% (2023 – 15.98%). The receivables and interest earned are due on demand.

25. EVENTS AFTER REPORTING DATE

There were no significant events after the reporting date with a financial statement impact at 31 December 2024.

LIMURU TEA PLC

PRINCIPAL SHAREHOLDERS AND SHARE DISTRIBUTION SCHEDULE

Ten largest shareholders as at 31 December 2024

Shares	Names
1,247,976	Browns East Africa Plantations PLC
697,188	Standard Chartered Nominees A/C 9532
121,500	Brookshire Limited
80,722	Popat, Hassan
60,000	Adam, Alimohamed
19,466	SBM Bank Nominees Ltd A/C 3018
12,431	Enkulu Investments Ltd
12,000	Amin, Ambubhai N. Amin & Mrs Kusumben Ambubhai
10,356	Shah, Shantaben Devshi
10,000	Naledi Investments Limited
2,271,639	

Distribution of shareholders as at 31 December 2024

Category	No. of Shareholders	%	No. of shares
1- 500 Shares	193	0.66	15,761
501 – 1,000 Shares	12	0.36	8,722
1,001 - 5,000 Shares	27	2.29	55,822
5,001 - 10,000 Shares	8	2.46	58,056
10,001 - 50,000 Shares	4	2.26	54,253
50,001 – 100,000 Shares	2	5.86	140,722
100,001 - 500,000 Shares	1	5.06	121,500
Over 500,000 Shares	<u>2</u>	<u>81.05</u>	<u>1,945,164</u>
Total	<u>249</u>	<u>100.00</u>	<u>2,400,000</u>

Shareholders' profile

Category	No. of Shareholders	%	No. of Shares
Foreign investors	7	0.848	20,352
Local individual investors	229	39.766	954,388
Local company investors	<u>13</u>	<u>59.386</u>	<u>1,425,260</u>
	<u>249</u>	<u>100.00</u>	<u>2,400,000</u>

None of the Directors of the Company hold shares in the Company.

LIMURU TEA PLC

PROXY FORM

I/We _____

(please use block letters)

being a member/members of Limuru Tea PLC. hereby appoint.

(please use block letters)

failing whom, the Chair of the meeting as my/our proxy, to attend and vote for me/us and on my/our behalf at the **One-Hundredth Annual General Meeting** of the Company to be held on **Friday, 23 May 2025 at 11:00am** and at any adjournment thereof.

I/We desire to vote on the resolutions set out in the notice of the meeting as shown below *(please tick the appropriate space)*.

		Resolution	For	Against
	ORDINARY BUSINESS			
1.	I/We adopt the balance sheet and the financial statements for the year ended 31 December 2024 and the Reports of the Directors and Auditors thereon.	2		
2.	I/We approve the Directors' Remuneration Report, and the remuneration paid to the Directors for the year ended 31 December 2024 as set out in the Audited Financial Statements for the year ended 31 December 2024 and to authorise the Board to fix the remuneration of the non-executive Directors.	4		
3.	I/We re-appoint Felgona Omollo who retires by rotation in accordance with Article 100 of the Articles of Association of the Company and being eligible, offers herself for re-election.	5(a)		
4.	I/We re-appoint Jackline Kanyua who retires by rotation in accordance with Article 101 of the Articles of Association of the Company and being eligible, offers herself for re-election.	5(b)		
5.	In accordance with the provisions of Section 769 of the Companies Act, 2015, I/We appoint Directors: Sarah Mbwya, Felgona Omollo and Jackline Kanyua being members of the Board Audit Committee to continue to serve as members of the said Committee.	6		
6.	I/We approve the appointment of KPMG as the Auditors of the Company and authorize the Directors to fix the Auditors' remuneration for the ensuing financial year.	7		

As witness my/our hand this _____ day _____ 2025

Signature(s) _____

LIMURU TEA PLC

PROXY FORM (CONTINUED)

Notes

1. *A member entitled to attend and vote at the above meeting may appoint a proxy to attend and vote instead of him/her. A proxy need not be a member of the Company. A form of proxy is enclosed.*
2. *In the case of a member being a limited liability company or corporate body, the form must be completed under its Common Seal or under the hand of an officer or attorney duly authorised in writing.*
3. *Shareholders who will not be able to attend the meeting are requested to complete and return the Proxy Form, so as to reach the Company Secretary, Limuru Tea PLC., PO Box 764 - 00606, Nairobi not later than 21 May 2025.*
4. *In accordance with Article 133 of the Company's Articles of Association a copy of the Audited Financial Statements may be viewed on and obtained from the Company's website or from the Registered Office of the Company. An abridged set of the audited Balance Sheet, Income Statement, Statement of Changes in Equity and Cashflow Statements for the year ended 31 December 2024 have been published in two daily newspapers with nationwide circulation.*



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